

Capital Gains Tax & Negative Gearing Bill passes House of Representatives

On 4 June 2026, the [*Treasury Laws Amendment \(Tax Reform No. 1\) Bill 2026*](#) passed the House of Representatives. The Bill now awaits review by the Senate Economics Legislation Committee, with a final report from this Committee expected by 19 June 2026. It is likely that the Bill will pass through the Senate in the next two weeks. The Bill contains the following key changes announced in the recent Federal Budget in May 2026:

1. Replacement of the 50% CGT discount for individuals, trusts and partnerships with cost base indexation from 1 July 2027, with exemptions for new residential builds and affordable housing (which can continue to benefit from CGT discount). Note, CGT indexation does not apply for quantifying capital losses.
2. Companies, including corporate beneficiaries of capital gains from a trust, will not benefit from cost base indexation.
3. Imposition of a 30% minimum tax on capital gains with exemptions for certain income support recipients.
4. Transitional CGT provisions for assets acquired and disposed of prior to 1 July 2027 and capital gains accrued up to 1 July 2027 such that the existing CGT settings continue to apply.
5. Pre-CGT assets will be brought into the CGT net for gains accruing after 1 July 2027 with gains accruing before this date continuing to be exempt (other than in respect of CGT event K6).
6. For CGT assets acquired before 21 September 1999, removal of any ability to use CGT indexation for gains accruing prior to this date (i.e., only CGT discount can be used for such gains).
7. Separation of capital gains made into four categories, being (a) deferred non-residential capital gains; (b) deferred residential capital gains; (c) non-residential capital gains; and (d) residential capital gains.
8. Capital losses must be applied against the capital gains made in order, with the gains firstly being applied to CGT discount eligible gains (rather than post 1 July 2027 non-discount gains) and to non-residential capital gains before residential gains.
9. Limitation of negative gearing such that from 1 July 2027, net rental losses from residential properties acquired on or after 7.30pm on 12 May 2026 are quarantined and can only be applied against net assessable income or capital gains from residential properties.
10. Introduction of a non-refundable working Australians tax offset of up to \$250 from FY28 onwards.
11. Introduction of a \$1,000 standard tax deduction for work-related expenses. This deduction is reduced dollar-for-dollar for any general and specific work-related expense deductions claimed (so there is no double-claim of such expenses).

No changes are proposed to the small business concessions or the ability for complying super funds to apply the CGT discount.

Bendel's case – High Court rules UPEs not Div 7A loans

In the *Bendel* case, a 5:2 majority of the High Court has found that a company's failure or inaction to call for payment of an unpaid present entitlement ("UPE") owed to it by a trust is not, in itself, a loan for Division 7A purposes. This displaces the Commissioner's long-standing position (also confirmed in TD 2022/11) that a UPE by a trust to a corporate beneficiary is regarded as the provision of financial accommodation by the corporate beneficiary to the trust, and hence a Division 7A loan.

Key findings from the High Court include the following:

- Before a call is made on a UPE, the UPE represents an equitable obligation owed by a trustee to a beneficiary rather than a legal debt. There was no absolute unconditional requirement to pay the amount to the corporate beneficiary and no debtor-creditor relationship on the basis that the resolution of the trustee was to set aside an amount of net income for the corporate beneficiary on separate trust and invest that amount pending payment (or demand for payment). The recording of the UPE as a liability in the accounts of the trust did not change this conclusion.
- For a loan to be made under Division 7A, there must be something actively done, or some interaction between entities to transfer value from a private company to a shareholder, or an associate of that shareholder. The corporate beneficiary's inactivity did not satisfy the concepts of "advance", "provision of financial accommodation", "payment" or "transaction" in s109D(3)(b).
- A Division 7A loan must be capable of "repayment" and this requires an initial transfer of value or property by the company to another party.
- The broader context and legislative history of Division 7A undermined the Commissioner's case. In particular, the history behind Subdivision EA and the treatment of UPEs showed that parliament chose for UPEs to give rise to deemed dividends under Division 7A only where the trust subsequently lent or paid amounts out to their shareholders (or their associates) of the private company to which the UPE is owed and not where the UPE merely remains unpaid.

The ATO has [indicated](#) that it is considering the implications of this adverse decision and will update their views set out in their Interim Decision Impact Statement ("DIS") as soon as possible to provide practical guidance to impacted taxpayers. We expect the ATO to apply the principles from the case narrowly and only to the specific circumstances relevant to the case.

Given the outcome from the case is different to how UPEs have been historically governed, taxpayers should seek tax advice on the impact of the decision on their current distribution strategies and historical arrangements, especially where they have applied the Commissioner's views and included a deemed dividend in their assessable income as a result of an existing UPE. This should take into account other integrity provisions that may be applicable (e.g. Subdivision EA and s100A), the forthcoming updated DIS and any potential future legislative amendment to the current law.

Undocumented services fees not deductible - High Court refuses special leave

The High Court has refused the taxpayer's special leave to appeal against the decision in [FC of T v SNA Group Pty Ltd & Anor \[2026\] FCAFC 10](#). The case concerned whether service fees between related parties were deductible in circumstances where the agreements giving rise to the liabilities were informal (i.e. not formally documented). The Full Federal Court had overturned the Federal Court decision and ruled that there was insufficient evidence of an objective manifestation of mutual assent of the relevant parties to contract on terms by which the taxpayers were liable to pay a fair and reasonable fee for use of trust assets.

Decision Impact Statement – FCT v Morton

In *Morton v FC of T* [2025] FCA 336, the Full Federal Court unanimously dismissed an appeal by the Commissioner against the decision that certain property sales were capital receipts rather than assessable income from trading stock. The taxpayer had a 10-acre farm which was developed and subdivided into various residential and commercial lots and subsequently sold. The court upheld the primary judge's finding that the taxpayer was realising a capital asset (which was pre-CGT in this case), rather than carrying on a business of property development.

The ATO has released its [Decision Impact Statement](#) on Morton's case. Key points are outlined below:

- Morton was an application of the existing case law and did not change the relevant legal principles concerning whether a taxpayer is carrying on a business and undertaking a profit-making undertaking or plan.
- The decision did not represent any departure from the ATO's long-standing approach to property development issues, as outlined in Taxation Ruling TR 97/11 *Income tax: am I carrying on a business of primary production?* and Taxation Ruling TR 92/3 *Income tax: whether profits on isolated transactions are income*.
- The case turned on its own facts and circumstances and the Court's acceptance of the credibility of the taxpayer. Of significance was the fact that the taxpayer strictly adhered to his 2 "tenets" – firstly, that the land could not be used as security for loans taken out by the developer to fund the development and secondly, that the taxpayer should receive a fixed percentage of the proceeds from each subdivided lot, so that the developer could not artificially inflate expenses so as to reduce the entitlements of the family. The Court considered that this demonstrated that the taxpayer was not willing to take every step possible to maximise the profits received from the development which led to their finding that the taxpayer did not carry on a business of developing land or a profit-making scheme.
- The case does not establish a principle that where a taxpayer has taken steps to mitigate risk resulting in less profit being obtained, a conclusion can always be drawn that the activities are a mere realisation. Each case will turn on its own facts and requires independent analysis of the following two tests:
 - Whether the taxpayer was carrying on a business of property development under section 6-5
 - Whether the profit is assessable income under section 6-5 (an isolated profit-making transaction), section 15-15 (profit-making undertaking or plan), or as trading stock under Division 70 (with proceeds brought to account under section 70-80 or section 70-90).
- The ATO will continue to apply the established legal principles to other cases by undertaking a fact-specific assessment of whether a taxpayer's activities amount to the carrying on of a business, an isolated profit-making transaction, or the mere realisation of a capital asset. This will involve a holistic evaluation of all relevant facts and circumstances, consistent with the law and TR 97/11 and TR 92/3.

Trust Year End Matters

With only a few weeks left until year end, there are various matters that should be considered by trusts, including the following:

- Ensure trustee resolutions / determinations are made before year end
- Confirm the tax profile of trusts (MIT / AMIT eligibility; MIT start up concessions)
- Satisfy trust loss and debt deduction rules
- Review distributions from foreign trusts
- Tax treatment of UPEs
- Check family trust elections / interposed entity elections

Contact

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